

Strong Quarter; Asset quality Improving

AU Small Finance Bank (AU SFB) has reported its Q3FY22 performance which beat our estimates on almost all fronts. Bank's profitability was supported by lower provisions (Credit Cost at 0.4% vs 2.4% YoY), better margin (NIM at 6.3% vs 5.9% YoY/ 6.0% QoQ) and higher AUM growth (26% YoY/ 11% QoQ). Asset quality also improved during the quarter, with GNPA's sequentially down by 57 bps at 2.6% and NNPA's down by 36 bps to 1.29%. Bank carries a total contingency provision of Rs 3 Bn (75 bps of loans), which strengthens the balance sheet and provide an additional buffer to cushion any unforeseen events.

- **NII** came in at **INR 8204 Mn**, +8.9% QoQ / +29.6% YoY and 0.1% above our est.
- **Net Income** came in at **INR 10961 Mn**, +16% QoQ / -16.9% YoY and 4% above our est.
- **PPOP** came in at **INR 4584 Mn**, +16.8% QoQ / -48.8% YoY and 1% above our est.
- **Provisions** came in at **INR 560 Mn**, +1110% QoQ / -82% YoY and 66% below our est.
- **PAT** came in at **INR 3020 Mn**, +8.4% QoQ / -36.9% YoY and 40% above our est.
- **EPS** stood at **INR 9.63** vs **INR 8.9** / **INR 15.6** in **Q2FY22** / **Q3FY21** respectively.

Financial Highlights

- Disbursements grew by 33% YoY / 59% QoQ to Rs 81.52 Bn in Q3FY22 as the operating environment and economic activity improved significantly. AUM grew by 26% YoY/11% QoQ to reach Rs 420.23 Bn. As part of its further growth strategy, AU SFB has formalized 10 Business groups and each will operate as separate Strategic Business Units (SBUs) with identified leadership. This SBUs will significantly help manage bandwidth and bring sharper focus in executing the bank's growth strategy with greater agility and flexibility.
- On the liability front, deposits growth was healthy at 49% YoY/13% QoQ with CASA deposits grew by 170% YoY/47% QoQ, taking CASA ratio at 39.2% (Vs 21.7% YoY/30.3% QoQ). Granularity of deposits continued to improve driven by increasing brand awareness, branch expansion and improved digital offerings.

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21	FY22E	FY23E
NII	19	24	31	38
Net profit	7	12	11	13
Net worth	44	63	73	86
Adj BVPS (Rs)	137	177	213	252
EPS (Rs)	22	37	36	42
P/E (x)	57	34	35	30
P/Adj BV (x)	9.3	7.2	6.0	5.1
RoA (%)	1.8	2.5	1.9	1.8
RoE (%)	18	22	16	17

Source: Dalal & Broacha Research, Company



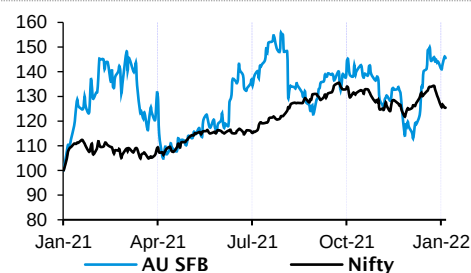
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1384	9

Market data

Current price	Rs	1271
Market Cap (Rs.Bn)	(Rs Bn)	399
Market Cap (US\$ Mn)	(US\$ Mn)	5311
Face Value	Rs	10
52 Weeks High/Low	Rs	1389/84
Average Daily Volume	('000)	1964
BSE Code		540611
Bloomberg		AUBANK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoter	28.3	28.4
FII	33.2	32.5
DII	20.0	20.9
Others	18.5	18.3
Total	100	100

Source: BSE

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- Operating performance was adversely impacted by higher operating expenses, which surged by ~50% YoY/15% QoQ and thus the C/I ratio stood at 58.2% (vs 58.5% QoQ). The bank's higher opex cost was mainly due to investment in the digital franchise (credit cards, merchant solutions, video banking), expanding distribution & branch franchise, and investment in brand building.
- On the other hand, strong growth of 30% YoY (9%QoQ) in NII was supported by reduction in Cost of funds (CoF) and growth in AUM. Overall cost of funds for Q3'FY22 was at 5.9% - decline of 22 bps over Q2FY22 driven partly by improving deposits mix; Incremental cost for Q3FY22 was at 5.3% - down 5 bps over Q2FY22. However, disbursement yields also declined sequentially to 12.7% in Q3FY22 vs 12.9% QoQ.
- Portfolio quality improved during Q3FY22, Collection efficiency at 106% for Q2FY22. Recoveries aided by improving the environment and better customer cashflows resulting in collection efficiency sustaining above 100%. Customer activation also remained stable at 91% in Q3FY22 vs 90% in Q2FY22.
- Legal recourse in terms of SARFAESI etc. is well underway in all the eligible cases (5,000+ notices issued) which will significantly aid resolution in the coming quarters. ATS of GNPL book is ~Rs 2 lakh and >98% of the GNPL book is secured. YTD, ~65% of total GNPA resolution has been through regularization with no loss incurred; Against the remaining ~35% of resolved GNPA, Repo/POS loss incurred was ~32%.
- Standard Restructured accounts stood at 3.1% of gross advances as of Dec 31, 2021. Out of this pool, billing has started from 92% of the restructured book. GNPA against the Restructuring 1.0 loans stood at ~19% as of 31-Dec'21. The bank holds ~ 16% coverage against the standard restructured loans as of 31-Dec'21

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Valuation & outlook

We like AUSFB's ability to deliver strong operating performance across parameters, particularly in a challenging environment. Impressive recovery in collection efficiency from covid lows adds to positivity. Given the secured nature of its lending book (over 90% secured loan book), conservative underwriting mechanism, efficient risk management capabilities, and long runway for growth, we find the stock attractive. We expect total business to grow at CAGR of 32% in FY21-23E, with growth in loans and deposits at ~29% and ~35% respectively. At CMP the stock trades at 6x its FY22E ABV and 5.1x its FY23E ABV. **We assign 'Buy on Dips' rating with Target Price of Rs 1384/share, valuing the stock at a target multiple of 5.5x FY23E ABV.**

Quarterly Financial

P&L (Rs Bn)	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Interest Earned	12.61	12.92	13.53	14.05	14.96	18.7%	6.5%
Interest Expended	6.28	6.37	6.29	6.52	6.76	7.6%	3.7%
NII	6.33	6.56	7.24	7.53	8.20	29.6%	8.9%
Other Income	6.86	2.77	2.14	1.92	2.76	-59.8%	43.6%
Net Income	13.19	9.32	9.38	9.45	10.96	-16.9%	16.0%
Opex	4.24	5.59	4.57	5.53	6.38	50.5%	15.4%
PPOP	8.95	3.74	4.81	3.92	4.58	-48.8%	16.8%
Provisions	3.06	1.78	2.06	0.05	0.56	-81.7%	1109.5%
PBT	5.89	1.96	2.75	3.88	4.02	-31.7%	3.8%
Tax	1.10	0.27	0.71	1.09	1.00	-8.9%	-8.2%
PAT	4.79	1.69	2.03	2.79	3.02	-36.9%	8.4%
BS (Rs Bn)	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Networth	54.03	62.75	64.90	67.81	71.27	31.9%	5.1%
Deposits	297.08	359.79	370.14	390.34	442.78	49.0%	13.4%
Borrowings	91.71	70.30	61.01	49.68	45.69	-50.2%	-8.0%
Other Liabilities	23.24	23.07	17.52	24.53	26.72	15.0%	8.9%
Total Liabilities	466.06	515.91	513.57	532.36	586.46	25.8%	10.2%
Cash & Bank	33.39	47.81	47.98	41.91	27.08	-18.9%	-35.4%
Investments	115.62	108.15	111.51	116.79	141.44	22.3%	21.1%
Advances	302.93	346.09	339.57	358.45	401.81	32.6%	12.1%
Other Assets	14.11	13.86	14.51	15.20	16.13	14.3%	6.1%
Total Assets	466.05	515.91	513.57	532.36	586.46	25.8%	10.2%
BS (Rs Bn)	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
GNPA (%)	1.0	4.3	4.3	3.2	2.6	160 bps	-57 bps
NNPA (%)	0.2	2.2	2.3	1.7	1.3	105 bps	-36 bps
PCR (%)	76	50	49	49	51	-2517 bps	222 bps
C/I Ratio (%)	32	60	49	58	58	2605 bps	-30 bps
C/D Ratio (%)	102	96	92	92	91	-1122 bps	-108 bps

Source: Dalal & Broacha Research, Company

Financials

P&L (Rs Mn)	FY20	FY21	FY22	FY23
Interest income	42.9	49.5	62.2	80.4
Interest expense	23.8	25.8	31.3	42.1
NII	19.1	23.7	30.9	38.3
Non-interest income	7.1	14.5	10.5	13.4
Net revenues	26.2	38.2	41.4	51.6
Operating expenses	14.2	16.6	22.3	28.8
PPOP	12.0	21.6	19.1	22.8
Provisions	2.8	7.0	4.1	5.1
PBT	9.1	14.6	15.0	17.7
Tax	2.4	2.9	3.8	4.5
PAT	6.7	11.7	11.2	13.3
Balance sheet	FY20	FY21	FY22	FY23
Share capital	3	3	3	3
Reserves & surplus	41	60	70	83
Net worth	44	63	73	86
Deposits	262	360	490	658
Borrowings	103	70	80	76
Other liability	13	23	18	18
Total liabilities	421	516	661	838
Fixed assets	4	4	5	5
Investments	107	108	140	172
Loans	270	346	447	571
Cash	34	48	61	80
Other assets	7	9	8	9
Total assets	421	515	660	837

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	42	24	31	24
PPOP	66	80	-12	20
PAT	77	73	-4	19
Advances	18	28	29	28
Deposits	35	38	36	34
Spread (%)				
Yield on Funds	11.8	10.9	10.8	10.9
Cost of Funds	7.4	6.5	6.3	6.5
Spread	4.4	4.3	4.6	4.5
NIM	5.2	5.2	5.4	5.2
Asset quality (%)				
Gross NPAs	1.7	4.3	2.7	2.3
Net NPAs	0.8	2.2	1.6	1.3
Provisions	53	50	43	45
Credit Cost	1.0	2.0	0.9	0.9
Return ratios (%)				
RoE	17.9	22.0	16.4	16.6
RoA	1.8	2.5	1.9	1.8
Per share (Rs)				
EPS	22	37	36	42
BV	144	201	235	275
ABV	137	177	213	252
Valuation (x)				
P/E	57.3	33.9	35.5	29.9
P/BV	8.8	6.3	5.4	4.6
P/ABV	9.3	7.2	6.0	5.1

Source: Dalal & Broacha Research, Company

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